

Abbott India Ltd (ABB)

Sector: Industrials

ROE

32.5%

ROCE

36.5%

D/E

0.02x

OPM

24.8%

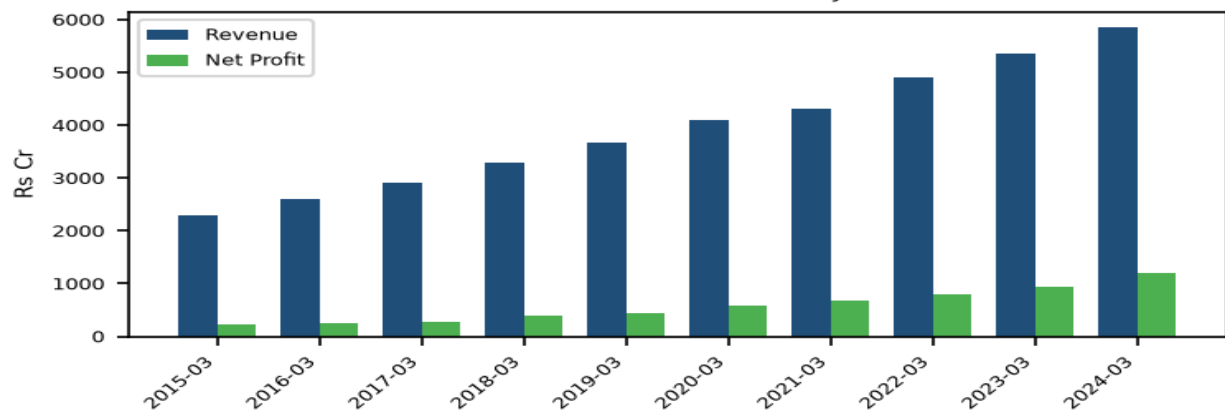
Revenue CAGR 5yr

9.7%

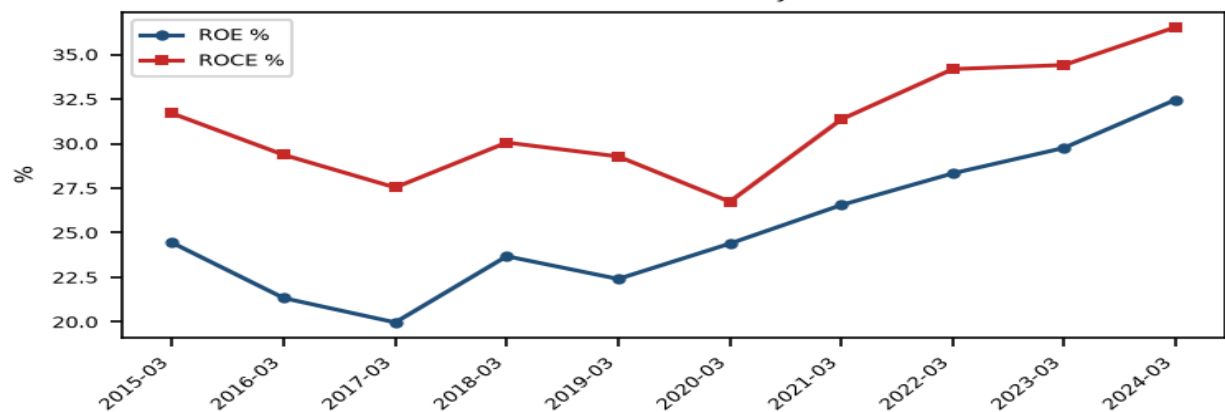
Free Cash Flow

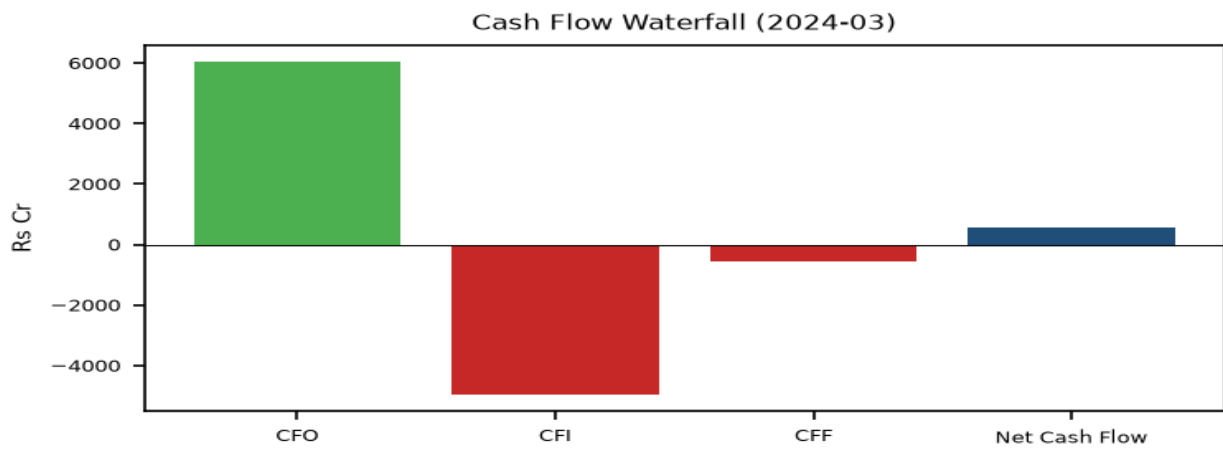
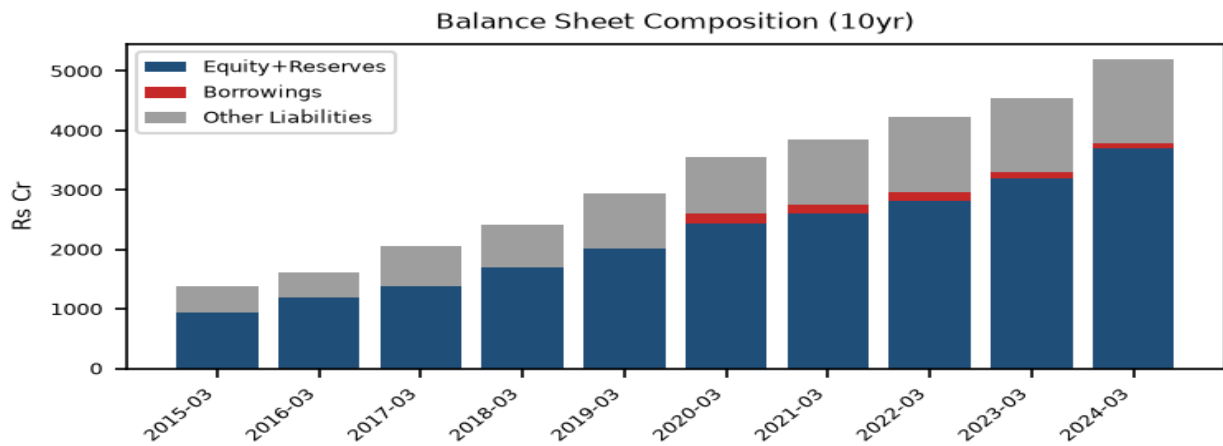
Rs 1,095 Cr

Revenue & Net Profit (10yr)



ROE vs ROCE (10yr)





Pros

- Consistently high return on equity above 20% demonstrates exceptional capital efficiency
- Net profit compounding at above 20% over 5 years creates significant shareholder value
- Very high interest coverage ratio reflects negligible financial stress from debt servicing
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- Return on equity improving for 3 consecutive years shows strengthening business quality
- Revenue growing slower than profits shows improving operating leverage and scale benefits
- Growing asset base funded by internal accruals reflects self-sustaining growth

Cons

- Insufficient historical data available to assess business risks in detail

Capital Allocation: Shareholder Returns